4.5

Quality of Goods and Services

Cambridge IGCSE Business

- What is Quality?
- Why Quality Matters
- Quality Control
- Quality Assurance
- Adv & Disadv of Each
- Recommend & Justify

Quality in Business

Quality means a product or service meets the expectations of the customer. High quality builds trust, loyalty and a strong brand reputation.

- Define quality and explain why it matters
- Understand quality control — checking at the end
- Understand quality assurance — built in throughout
- Evaluate advantages and disadvantages of each
- Recommend which approach suits a given situation

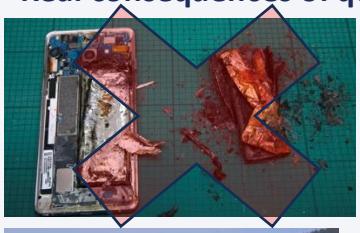
Why Quality Matters

Definition · Consequences of poor quality · Brand impact

Quality – What It Means and Why It Matters

Quality means a product or service consistently meets customer expectations — the right standard for its price point and purpose.

Real consequences of quality:



Why Quality Matters — Consequences

✗ POOR QUALITY

- ✗ Customer complaints and refunds
- ✗ Damaged brand reputation
- ✗ Product recalls — very expensive
- ✗ Loss of market share to rivals
- ✗ Legal action from customers
- ✗ Staff demotivation and turnover

✓ HIGH QUALITY

- ✓ Customer loyalty and repeat business
- ✓ Premium pricing — charge more
- ✓ Strong brand reputation
- ✓ Low returns and complaints
- ✓ Word of mouth recommendations
- ✓ Staff pride and motivation

Samsung

Galaxy Note 7 batteries caught fire

$5bn recall · brand damaged globally

Boeing

737 MAX software fault in two crashes

Grounded worldwide · $20bn+ in losses

Kellogg's

Glass found in cereal batches

Recall of millions of boxes · legal action

Dyson

Maintained quality through premium design

Premium pricing · loyal customers · global growth

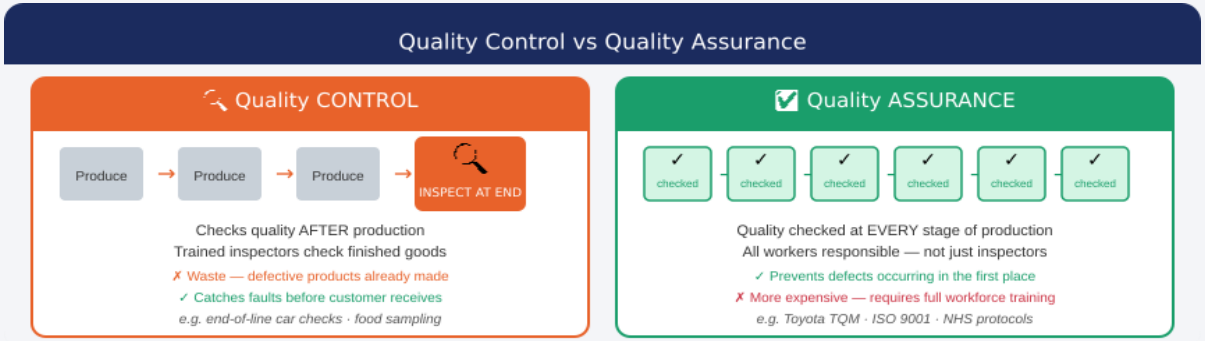
Exam tip: Quality does not mean 'the best possible product'. A budget airline can have quality if it delivers what it promised — cheap seats, on time.

Quality Control vs Quality Assurance

Two different approaches — know both inside out

Quality Control vs Quality Assurance – Key Differences

These are the two main approaches to achieving quality. The IGCSE exam will ask you to compare them and recommend which is better for a specific business situation.



	Quality Control	Quality Assurance
When?	After production — check finished goods	Throughout production — at every stage
Who?	Specialist inspectors only	All workers — everyone is responsible
Defects	Caught after production — waste already created	Prevented from occurring in the first place

Exam tip: QC = checks at the END. QA = quality built in THROUGHOUT. QA is generally better but more expensive — always link your answer to the business in the question.

Quality Control – In Depth

Quality control checks whether the finished product meets the required standard. A trained inspector examines output — usually a sample — and rejects substandard goods.

Advantages of Quality Control

- Cheaper to set up — only inspectors need specialist training
- Catches defects before goods reach the customer
- Familiar, easy-to-understand system for managers
- Suitable for businesses with simple, standardised products
- Inspectors can identify patterns in where faults occur

Disadvantages of Quality Control

- Defective products are already made — materials wasted
- Workers have no responsibility for quality — not motivated
- Inspectors can miss faults — sampling is never 100% reliable
- Faults discovered late may affect a large batch
- Does not prevent defects — only identifies them after the fact

When to recommend Quality Control:

- Small business with limited budget — cannot afford to train all staff in QA
- Production of cheap, standardised goods where some waste is acceptable
- Early-stage businesses that need a simple, low-cost system to start with

Exam tip: When recommending QC, justify it with the specific business context — e.g. 'because the business is small and cannot afford to train all workers'.

Quality Assurance – In Depth with Real Examples

Quality assurance builds quality into every stage of production. All workers take responsibility — not just inspectors. It prevents defects rather than finding them later.

TOYOTA

Jidoka	Auto-stop if defect detected
	Toyota: 1 defect per million parts — world standard
Kaizen	Continuous improvement
TQM	Total Quality Management
Poka-yoke	Mistake-proofing

QA Advantages

- Prevents defects — less waste
- Workers motivated — feel responsible

QA Disadvantages

- Expensive — training all workers
- Takes time to implement fully

ISO 9001 — International Quality Standard

ISO 9001 is a globally recognised quality assurance standard. Businesses that meet it can display the ISO logo — a signal to customers that their quality systems are independently verified. Many large clients will only work with ISO-certified suppliers.

When to recommend Quality Assurance:

- Large businesses with the budget to train all workers across multiple departments
- High-risk products like cars, aircraft, medicines — where defects cause injury or death
- Businesses building long-term brand reputation based on consistent, premium quality

Exam tip: Toyota's QA system (Jidoka) allows any worker to stop the entire production line if they spot a defect. This prevents the problem spreading to thousands of units.

Quality – How to Recommend and Justify in the Exam

The exam will give you a business scenario and ask you to recommend and justify whether Quality Control or Quality Assurance is more appropriate.

Scenario A: "SpeedPrint is a small printing company with 8 employees and a tight budget."

Recommend: Quality Control

Small business cannot afford to train all 8 workers in QA. Specialist inspector can check print quality at the end of each job at low cost. Some waste is acceptable given low margins.

Scenario B: "AeroTech makes safety-critical aircraft landing gear components."

Recommend: Quality Assurance

Safety-critical products — a single defect could cause fatal accidents. All workers must take responsibility at every stage. The high cost of QA is justified by the catastrophic consequences of failure.

Scenario C: "Luxe Foods produces premium organic ready meals for supermarkets."

Recommend: Quality Assurance

Premium brand built on consistent quality. Supermarkets require certified standards (ISO 9001). QA prevents defects and protects brand reputation — essential for premium pricing strategy.

Exam formula: State your recommendation → give TWO specific reasons linked to the business → justify why the other option is less suitable for THIS business.

Key Revision Checklist – 4.5 Quality of Goods and Services

Quality definition	Meets customer expectations consistently — not 'best possible' but 'fit for purpose at its price point'
Why quality matters	Loyalty, premium pricing, reputation. Poor quality: recalls, legal action, lost market share (Samsung Note 7, Boeing 737 Max)
Quality Control	Checks at the END of production. Specialist inspectors. Cheaper but creates waste. Catches faults — doesn't prevent them.
QC Advantages	Cheaper to set up, catches defects before customers receive, simple to understand, suitable for small businesses
QC Disadvantages	Waste already created, workers not motivated, sampling misses faults, defects discovered late can affect large batches
Quality Assurance	Quality built in THROUGHOUT. All workers responsible. More expensive but prevents defects. ISO 9001 is the global standard.
QA Advantages	Prevents defects, motivates workers, higher end quality, stronger reputation, required by many large buyers (ISO 9001)
QA Disadvantages	Expensive to train whole workforce, takes time to implement, workers may resist additional responsibility
Recommend	Small/cheap → QC. Safety-critical/premium brand → QA. Always justify using specific details from the business in the question